analyzing, and we want to understand how resilient these companies and their managements are against these forces.

We have seen many examples of country or regional crises creating opportunities for investors. In 2004 the incumbent reformist Bharatiya Janata Party (BJP) suffered a surprise electoral defeat in Indian elections. Since no party received a majority of seats in the Parliament, the prospect of an unstable and indecisive coalition government drove the Indian stock index down more than 15% on May 17, 2004. Although the prospect of a coalition government raised myriad uncertainties, we saw little to no risk that it would impair the continued success of the private banks, and so this sell-off provided an opportunity to acquire great banking franchises at attractive prices. A 2010 banking crisis in Vietnam impaired the values of property companies, and in this case the resulting problem loans made most local banks unanalyzable, but this was an opportunity to purchase shares of excellently managed consumer businesses that were unaffected. Every crisis presents its own set of problems and opportunities.

Indeed, crises often provide countries and companies with an opportunity to fix structural problems and end up having a beneficial longer-term impact for those who can survive the relentless headlines and volatility. The 1991 Indian balance of payments crisis catalyzed the liberalization of the economy, including reduction of import tariffs, promotion of a private banking sector, and opening the Indian stock market to foreign institutional investors. These actions laid the foundation for the subsequent 30 years of growth for the Indian economy and its capital markets.

INTERNATIONAL INDICES VERSUS SINGLE STOCK SELECTION

While there has been dramatic growth in the use of passive index funds in the United States, internationally we have found that buying